

[6 Edw. 7.] *Scottish Provident Institution Buildings* [Ch. xxxix.]
Limited Act, 1906.



CHAPTER xxxix.

An Act to enable the Scottish Provident Institution Buildings Limited to pay interest out of capital on certain of their shares and for other purposes.

[22nd June 1906.]

WHEREAS the Corporation of the Scottish Provident Institution (in this Act called "the Institution") whose head office is in Edinburgh have for many years conducted a branch of their business in the city of London :

And whereas owing to the growth and importance of the London branch of their business the Institution found it necessary to acquire more extensive premises in the city of London and became desirous of purchasing the block of freehold property being the premises known as Nos. 1 to 6 Lombard Street in the said city and buildings in the rear thereof :

And whereas the said property while being otherwise eminently adapted for the purposes of the Institution was of greater extent than was actually necessary for the purposes of their offices and it was therefore deemed expedient to register a joint stock company for the purposes of acquiring the property and erecting thereon not only offices for the purposes of the Institution but such other buildings as might be deemed expedient :

And whereas the Scottish Provident Institution Buildings Limited (in this Act called "the Company") was on the sixth day of May one thousand nine hundred and five registered under the Companies Acts 1862 to 1900 for the purposes amongst others of acquiring the said property and removing the existing buildings thereon and erecting other buildings including offices for the Institution :

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And whereas the purchase money for the said property was one million one hundred and ten thousand pounds of which the sum of one million pounds was provided by the Institution who took up shares in the Company and advanced moneys to the Company as hereinafter mentioned :

And whereas the capital of the Company is nine hundred thousand pounds divided into fifty thousand cumulative 4 per cent. "A" preference shares ten thousand 5 per cent. "B" preference shares and thirty thousand ordinary shares of ten pounds each :

And whereas the Company has borrowed from the Institution on mortgage the sum of six hundred thousand pounds bearing interest at the rate of four pounds per centum per annum and the Institution subscribed for at par and are also the holders of the whole of the said fifty thousand "A" preference shares of the Company forty thousand of which are fully paid up and a sum of three pounds four shillings per share has been paid up on the remaining ten thousand shares :

And whereas none of the "B" preference shares of the Company have been issued and eleven thousand and eighty-two of the ordinary shares have been issued and are fully paid up and are held as to eleven thousand thereof by the vendors of the property and as to the remainder by the directors and persons who signed the memorandum and articles of association :

And whereas the Institution when making arrangements for the acquisition of the said property and the vesting thereof in the Company proceeded upon the basis that the Company would be entitled out of capital to pay interest on the whole of the capital expended in purchasing the said property and in clearing the same and in constructing and equipping the proposed buildings and to treat such interest as part of the capital outlay on its undertaking :

And whereas the said purchase was completed on the eleventh day of November one thousand nine hundred and five and it is anticipated that a portion of the proposed buildings will have been constructed and income will commence to accrue at the expiration of two years from that date :

And whereas it is expedient that the Company should be authorised to pay interest out of capital for the period and to the extent provided by this Act and to treat its outlay on interest during construction as part of the costs of construction :

And whereas the purposes aforesaid cannot be effected without the authority of Parliament :

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And whereas the holders of the whole of the ordinary shares at present issued have consented in writing to the payment by the Company of interest out of capital as provided by this Act: A.D. 1906.

And whereas the debts and liabilities of the Company other than its debt to the Institution are of trifling amount and Messrs. William Cubitt and Company with whom the Company has entered into a contract for the construction of the buildings aforesaid have consented in writing to the provisions of this Act:

May it therefore please Your Majesty that it may be enacted and be it enacted by the King's most Excellent Majesty by and with the advice and consent of the Lords Spiritual and Temporal and Commons in this present Parliament assembled and by the authority of the same as follows (that is to say):—

1. This Act may be cited as the Scottish Provident Institution Buildings Limited Act 1906. Short title.

2. Notwithstanding anything contained in the Companies Acts 1862 to 1900 or in the memorandum and articles of association of the Company the Company may out of its capital pay interest at the rate of four pounds per centum per annum upon the amount from time to time paid up on the fifty thousand "A" preference shares of the Company for the period expiring on the eleventh day of November one thousand nine hundred and seven subject to the conditions hereinafter stated (that is to say):— Power to pay interest out of capital.

(A) No such interest shall accrue in favour of any shareholder for any time during which any call on any of his shares is in arrear:

(B) The payment of such interest shall not operate as a reduction of the amount paid up on the shares in respect of which it is paid:

(C) The annual accounts of the Company shall show the amounts of capital on which and the rate at which interest has been paid in pursuance of this section.

3. The amount expended by the Company in paying interest on its preference shares aforesaid and on the said sum of six hundred thousand pounds so borrowed as aforesaid prior to the eleventh day of November one thousand nine hundred and seven may be charged by the Company to capital as part of the costs of construction of its undertaking. Interest to be treated as part of costs of construction.

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Copy of Act
to be regis-
tered.

4. The Company shall deliver to the Registrar of Joint Stock Companies a printed copy of this Act and he shall retain and register the same and if such copy is not so delivered within three months from the passing of this Act the Company shall incur a penalty not exceeding two pounds for every day after the expiration of those three months during which the default continues and any director or manager of the Company who knowingly and wilfully authorises such default shall incur the like penalty. Every penalty under this section shall be recoverable summarily.

There shall be paid to the registrar by the Company on such copy being registered the like fee as is for the time being payable under the Companies Act 1862 on registration of any document other than a memorandum of association.

Copy of Act
to be annexed
to memoran-
dum and
articles and to
form part of
regulations of
Company.

5. To every copy of the memorandum and articles of association of the Company supplied after the passing of this Act to any member under the provisions of section 19 of the Companies Act 1862 there shall be annexed a copy of this Act which for the purposes of that section shall be treated as part of the memorandum and articles of association of the Company.

As to modi-
fying memo-
randum and
articles.

6. Nothing herein contained shall be deemed to prevent the Company from modifying or altering its memorandum and articles of association as hereby varied in accordance with the provisions of the Companies Acts 1862 to 1900.

General
saving.

7. Nothing herein contained shall be deemed to relieve the Company from the provisions of any general Act relating to joint stock companies passed during the present or any future session of Parliament.

Costs of Act.

8. The costs charges and expenses preliminary to and of and incidental to the preparing obtaining and passing of this Act shall be paid by the Company.

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